

Budget impact of Medicaid coverage of Wegovy and Zepbound for obesity

A state Medicaid programme of 1,000,000 enrollees, five years, incremental to no coverage.

Central case (years 3–5 plateau, prior authorization multiplier 0.75, midpoint rebate): five-year net cost \$121.0 million, \$2.02 per enrollee per month; gross \$248.0 million.

Probabilistic sensitivity (10,000 draws): median \$118.3 million, 90% interval \$46.7 to \$265.2 million.

At the announced \$245 per monthly prescription: \$51.2 million (PMPM \$0.85) in the plateau scenario.

What is measured: incremental prescriptions per 1,000 enrollees from Module C (observed fills, so discontinuation is already in the uptake); SDUD gross cost per prescription; NHANES eligible share; adult share of enrollment.

What is assumed: rebates (23.1% statutory minimum to the rebate implied by \$245), prior authorization multiplier (0.5 to 1.0), years 3–5 scenarios, one prescription = one month. SDUD amounts are gross of rebates.

Scenarios, not forecasts; no medical cost offsets are included. Source: CMS SDUD, Medicaid enrollment, NHANES; 42 U.S.C. 1396r–8; White House fact sheet (Nov 2025).

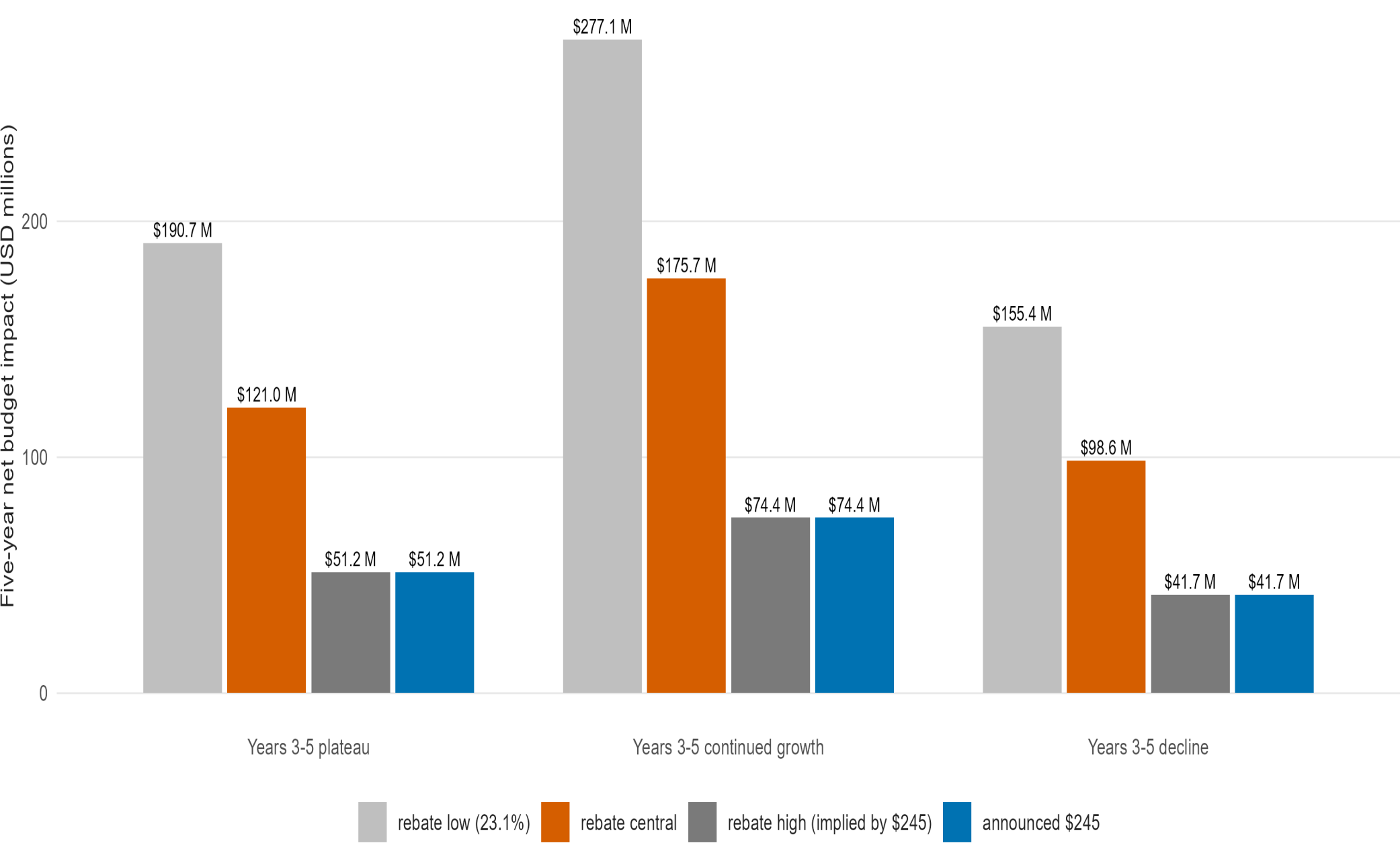
Central scenario by year (1,000,000 enrollees)

Year	Incremental prescriptions	Gross cost	Net cost	Net PMPM	Treated members
1	14,799	\$17,554,183	\$ 8,562,406	\$0.71	3,410
2	39,305	\$46,624,268	\$22,741,924	\$1.90	9,057
3	51,667	\$61,288,133	\$29,894,519	\$2.49	11,905
4	51,667	\$61,288,133	\$29,894,519	\$2.49	11,905
5	51,667	\$61,288,133	\$29,894,519	\$2.49	11,905

Years 3–5	Price or rebate	Five-year gross	Five-year net	PMPM
plateau	rebate low (23.1%)	\$248.0M	\$190.7M	\$3.18
growth	rebate low (23.1%)	\$360.3M	\$277.1M	\$4.62
decline	rebate low (23.1%)	\$202.1M	\$155.4M	\$2.59
plateau	rebate central	\$248.0M	\$121.0M	\$2.02
growth	rebate central	\$360.3M	\$175.7M	\$2.93
decline	rebate central	\$202.1M	\$ 98.6M	\$1.64
plateau	rebate high (implied by \$245)	\$248.0M	\$ 51.2M	\$0.85
growth	rebate high (implied by \$245)	\$360.3M	\$ 74.4M	\$1.24
decline	rebate high (implied by \$245)	\$202.1M	\$ 41.7M	\$0.70
plateau	announced \$245	\$248.0M	\$ 51.2M	\$0.85
growth	announced \$245	\$360.3M	\$ 74.4M	\$1.24
decline	announced \$245	\$202.1M	\$ 41.7M	\$0.70

Five-year net cost for 1,000,000 enrollees ranges from \$41.7M to \$277.1M across years 3-5 scenarios and rebate or price assumptions; central \$121.0M

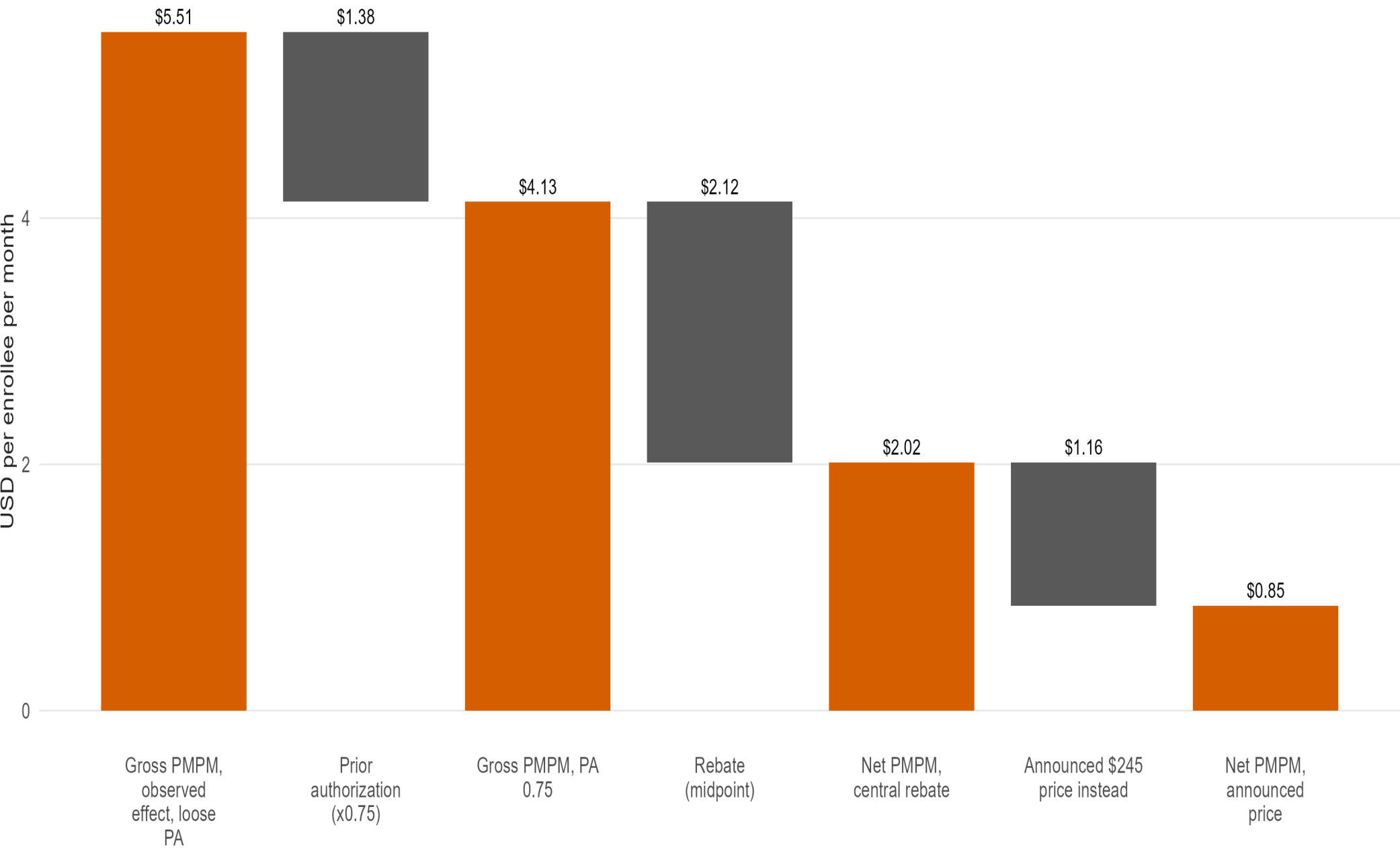
Net cost by years 3-5 scenario and by rebate or price assumption (prior authorization multiplier 0.75; incremental to no coverage).



Source: Module C estimates (CMS State Drug Utilization Data, Medicaid enrollment); SDUD gross reimbursement; statutory rebate floor 42 U.S.C. 1396r-8; White House fact sheet Nov 2025. SDUD amounts are gross of rebates; rebates, prior authorization and years 3-5 are assumptions.

Per enrollee per month, gross cost of \$5.51 falls to a net \$2.02 after a midpoint rebate, and to \$0.85 at the announced \$245 price (five-year average, 1,000,000 enrollees)

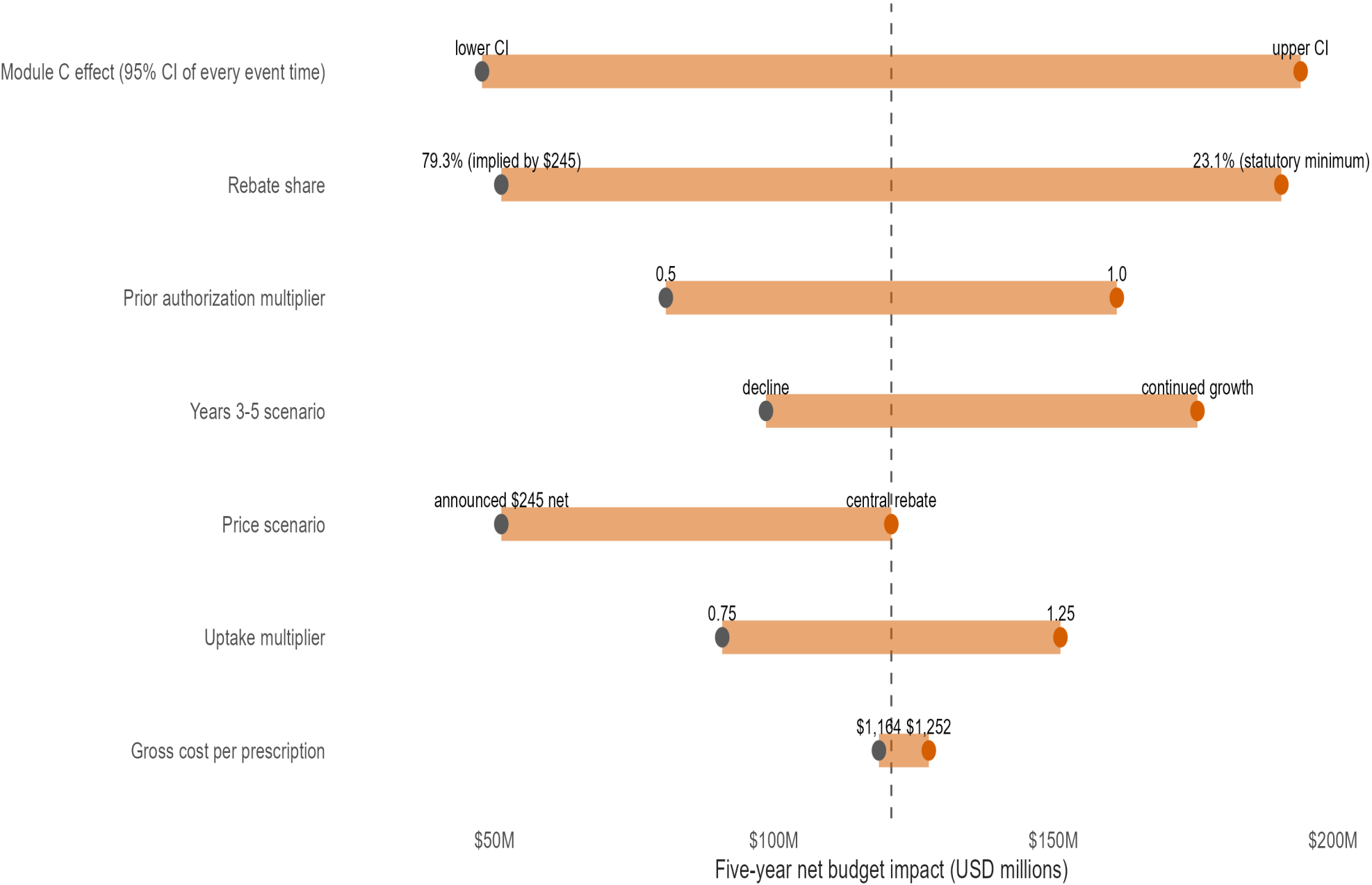
Waterfall from gross PMPM (observed effect, loose prior authorization) to net PMPM. Rebate and prior-authorization steps are assumptions; the \$245 price is an announced programme price.



Source: Module C estimates (CMS State Drug Utilization Data, Medicaid enrollment); SDUD gross reimbursement; statutory rebate floor 42 U.S.C. 1396r-8; White House fact sheet Nov 2025. SDUD amounts are gross of rebates; rebates, prior authorization and years 3-5 are assumptions.

Five-year net budget impact for 1,000,000 enrollees is \$121.0M in the central case; the widest swings are Module C effect (95% CI of every event time) (\$47.8M to \$194.2M) and Rebate share

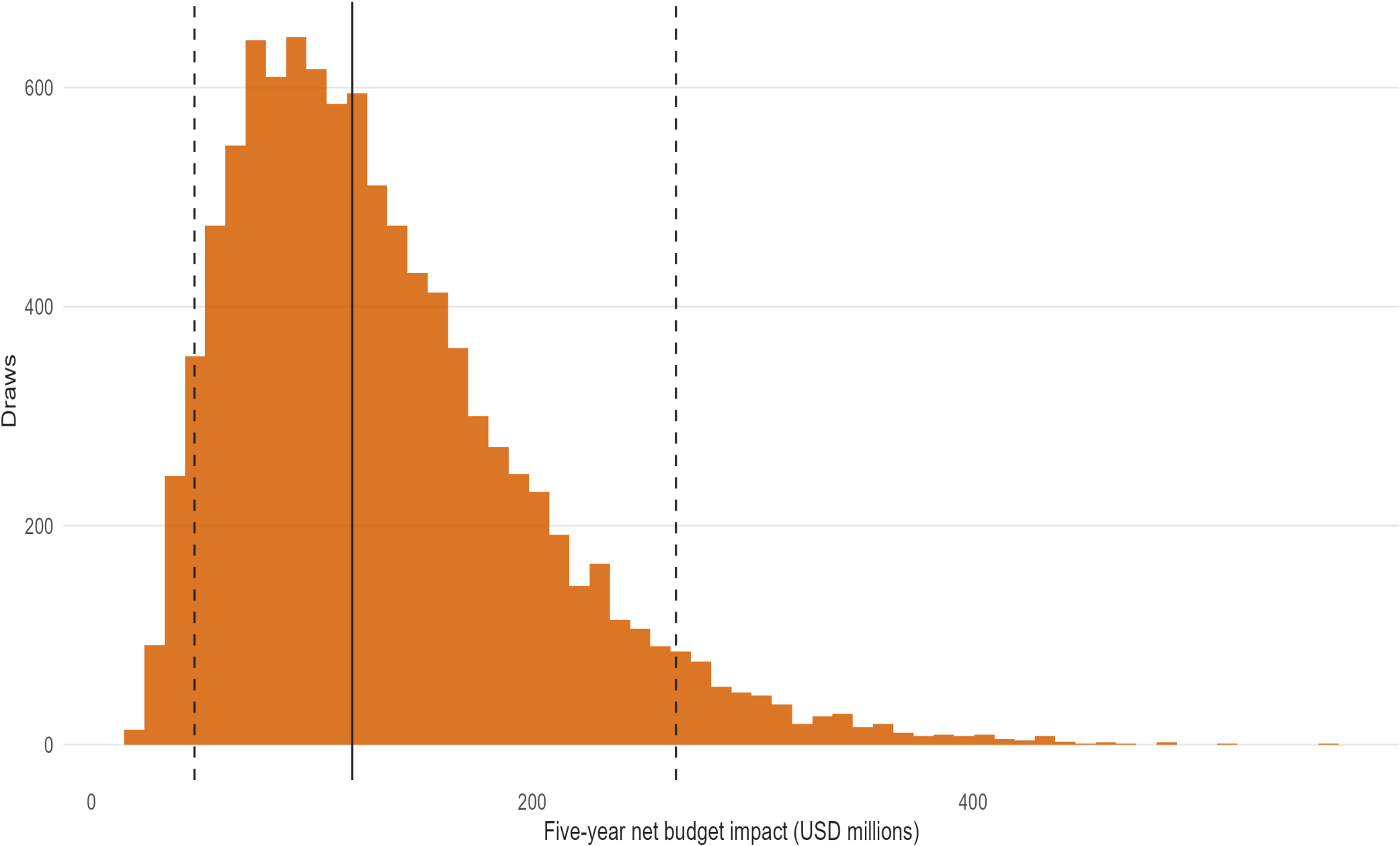
One-way sensitivity: each parameter moved across its range with the others at central values (incremental to no coverage; central = plateau, PA 0.75, midpoint rebate).



Source: Module C estimates (CMS State Drug Utilization Data, Medicaid enrollment); SDUD gross reimbursement; statutory rebate floor 42 U.S.C. 1396r-8; White House fact sheet Nov 2025. SDUD amounts are gross of rebates; rebates, prior authorization and years 3-5 are assumptions.

Across 10,000 draws the five-year net budget impact has a median of \$118.3M (90% interval \$46.7M to \$265.2M); PMPM median \$1.97

Probabilistic sensitivity analysis: Module C effects drawn from their SEs (independent event times; perfect correlation gives \$40.7M to \$286.7M), gross cost, rebate, prior authorization multiplier and years 3-5 scenario drawn from their ranges. 1,000,000 enrollees.



Source: Module C estimates (CMS State Drug Utilization Data, Medicaid enrollment); SDUD gross reimbursement; statutory rebate floor 42 U.S.C. 1396r-8; White House fact sheet Nov 2025. SDUD amounts are gross of rebates; rebates, prior authorization and years 3-5 are assumptions.